

THE MONEY HANDBOOK

A CONCISE TEXTBOOK ABOUT WEALTH AND FINANCIAL DEALINGS IN
ISLAM.

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PREFACE



الحمد لله رب العالمين ، والصلاة والسلام علي نبينا محمد خاتم النبيين
وعلي آله وأصحابه أجمعين ، ومن اقتني أثرهم واهتدي بهديهم إلي
يوم الدين. أما بعد :

This is a brief work outlining some key aspects of earning and spending in Islam.

The information has been referenced with Qur'ānic verses and hadiths (verses are highlighted in green, hadiths in blue), and care has been taken to simplify the concepts in today's English while providing examples (in grey) for each concept. The Arabic *fiqh* terminology of *buyū'* has been deliberately left out from this edition (except in very places), so the reader can focus on the concepts instead of the technical terms.

Details of juridical differences have been omitted, as this is a primer and the objective is to explain matters of general agreement in mainstream *fiqh*.

HOW TO USE THIS BOOK

This work is primarily a course textbook to study with someone well-versed in this aspect of *dīn*. The text has been kept simple and brief so the student may grasp the concepts without having to read extensively. The instructor should enrich each lesson by:

- Conveying the relevance of the concepts to the lives of the students
- Contextualizing each concept with examples, anecdotes and scenarios that the students would be familiar with.
- Encouraging students to create scenarios from the concepts. They can share their scenarios:
 - orally,
 - through writings, charts/diagrams,

- acting them out with others.
- Giving research activities to further their understanding. The research can be about:
 - modern applications of a concept,
 - effect that neglect of certain Islamic ethics has on modern society,
 - History or background of a concept
- Explaining the practical implementation and application of each concept
- Helping students understand each concept before moving to the next one. This will involve answering their questions and possibly referring to lengthier works on this subject.

The goal should be to develop a functional understanding of the teachings and their applications in daily life.

I pray that Allah Almighty makes this short work beneficial for all who read, study and teach from.

Aasim Rashid
Dhū'l Qa'da 6, 1439
July 18, 2018

INTRODUCTION

Every legal system has a set of laws regulating business and trade. These laws govern which types of transactions, industries and merchandise are permitted under that system. Aside from regulating trade, they also protect consumers, businesses and the public. We learn and apply these laws so that our financial activities are safe and legal.

Islam is a complete system of life addressing every aspect of human life: **spiritual, physical, emotional, economic** and **social**. The economic and financial teachings in Islam consist of the best ethics, practices and laws, protecting the human being and empowering him to achieve the best possible outcomes from his earning and spending activities. Implementing these teachings creates a culture of fairness, compassion and brings one nearer to Allah.

WHY I NEED TO STUDY THIS

We spend much time learning about our beliefs and worships. We study the commandments and etiquettes related to these areas. This is necessary, as these are the pillars of Islam.

Wealth is a means of fulfilling the needs and desires that play a central role in our lives. We dedicate a major portion of our lives to earning and spending wealth, which makes it very important to learn about wealth and monetary transactions from the Islamic perspective.

Just as our observance of *ṣalāt*, treatment of others directly impacts our status in the sight of Allah, the way we earn and spend can also become a means of gaining nearness to Allah or achieving His displeasure.

The Quran says:

4:29 *O Believers, do not consume each other's wealth through illegitimate means, [you may consume] only if it is legitimate trade conducted through mutual consent.*

2:275 *Those who consume interest shall not rise [on the Day of Judgment] but like the way who an evil jinn has*

made insane by possessing him. That [state of madness] is because they said, "Trade is [also] just like interest." [Though] Allah has made trade lawful and interest unlawful.

Look at the following hadiths:

"One who refunds a regretful customer, Allah will refund [forgive] his errors on the Day of Judgement." (Abū Dawūd 3460, Ibn Mājah 2199, From Abū Hurayra (raḍiyaLlahū 'anhu))

"The finest of you are those who are best in their paying their dues." (Bukhārī 2182; Muslim 1601, from Abū Hurayra)

"...If they (trading parties) speak truthfully and give full disclosure [about the goods], their trade will be blessed. And if they lie and conceal [important details] the blessings of their trade are erased." (Bukhārī 2110, 2079, 2082 from Ḥakīm b. Ḥizām (raḍiyaLlahū 'anhu))

[On the Day of Judgement] a wealthy man will be brought in the court of Allah. Allah will ask him, "What did you do in the world?" –and they will not be able to conceal any speech from Allah-. The man will respond, "O Allah, you granted me Your [bounty of] wealth, and [with it] I would trade with people. One of my habits was lenience, so I would deal gently with wealthy customers, and give time to customers who were not able to pay right away." Allah will say, "I am more entitled to deal in such [lenient] manner. Pardon my slave." (Bukhārī 2077, from Ḥudhayfa (raḍiyaLlahū 'anhu))

"The honest and trustworthy merchant will be [raised] with the prophets, true followers (*ṣiddīqīn*) and martyrs" (Tirmidhī 1209, from Abū Sa'īd (raḍiyaLlahū 'anhu))

"Surely, merchants will be raised as sinners on the Day of Judgment, except for those who maintained piety, dutifulness and honesty [in their trade]." (Tirmidhī 1210, from Rifā'a (raḍiyaLlahū 'anhu))

Let us acquire the knowledge of the vast Islamic teachings in this area so we can deal with wealth in a manner that coincides with our beliefs and values.

THE QURAN'S DEPICTION OF WEALTH

Earning and spending depends on acquiring, accumulating and dispensing *wealth*. Knowing the nature of wealth and the framework given by Allah for dealing with it is an important first step to understanding money matters in Islam.

WEALTH IS A BOUNTY

The Quran refers to wealth as great bounty, calling it 'good' (*khayr*), beauty (*zīna*), and the Grace of Allah (*faḍl Allah*)

'Good': ...if he leaves wealth (*khayran*) behind, he must make a will... (2:180)

'Bounty of Allah': ...then spread throughout the world and seek the bounty of Allah (*faḍl Allah*)... (62:10)

'Beauty': Wealth and sons are the adornment (*zīna*) of the worldly life... (18:46)

While urging his people towards Allah, the prophet Nūḥ (AS) told his people that Allah would bring financial ease to them:

"And He will assist you with wealth..." (71:12).

Allah speaks of the favors He bestowed upon Banī Isrā'īl:

"...and We assisted you through wealth and children..." (17:6)

THE EVILS OF WEALTH

However, the Quran also gives clear indications that wealth is not all good, all the time.

A TRIAL

The Quran refers to wealth as *fitna* (trial) and informs us that we will be tested through wealth.

Your wealth and your children are but a trial, and Allah has with Him a great reward. (64:15)

And We will surely test you with something of fear and hunger and a loss of wealth and lives and fruits, but give good tidings to the patient (2:155)

NEGATIVE IMPACT OF WEALTH ON PEOPLE

Wealth may take a harmful toll on those who desire or amass it.

It made some forget about Allah:

...because he possessed wealth and sons, when Our verses were recited to him he said, "These are tales of previous generations" (68:14)

It occupied them from their duties to Allah and His Messenger:

...our wealth and families preoccupied us... (48:11)

People became engrossed in amassing and keeping track of their assets, distracted by competing with one another in material things:

The competition for abundance has distracted you (102:1)

...the one who gathered and repeatedly counted his wealth... (104:2)

Know that the worldly life is recreation and pastime and decoration and boasting with one another and vying with each other in wealth and children (57:20)

Wealth deceived some people, breeding arrogance and conceit in them:

...“I have more wealth and numbers than you”...and he entered his garden wronging himself. He said: “I do not think this will ever come to an end, and I do not think that the Hereafter will ever occur...” (18:34)

“[Qārūn] said: I have only received this because of knowledge that I possess. Did he not know that Allah had destroyed generations before him who had greater power and amassed more wealth than him?” (28:78)

It fooled some into thinking they were invincible:

...he thinks his wealth will make him live eternally... (104:3)

“..and they said: We have more wealth and children and [thus] cannot be punished...” (34:35)

In others, it brought about miserliness:

But when he gave them from His bounty, they were stingy with it and turned away in aversion. (9:76)

QURAN'S GUIDANCE ABOUT WEALTH

The Quran gives clear guidelines on how to view it, and which ethics and morals to uphold while earning and spending it:

A BELIEVER'S ATTITUDE TO WEALTH

It is not what makes a person important or close to Allah:

And it is not your wealth or your children that bring you nearer to Us in position, but it is [by being] one who has believed and done righteousness. (34:37)

It does not avail in the Hereafter

The Day when there will not benefit [anyone] wealth or children (26:88)

“My wealth has not availed me!” (69:28)

And what will his wealth avail him when he falls? (92:11)

His wealth will not avail him or that which he gained. (111:2)

Indeed, those who disbelieve - never will their wealth or their children avail them against Allah at all. (3:10)

Should not have excessive love for it

And you love wealth with immense love. (89:20)

Say, [O Muhammad], "If your fathers, your sons, your brothers, your wives, your relatives, wealth which you have obtained, commerce wherein you fear decline, and dwellings with which you are pleased are more beloved to you than Allah and His Messenger and jihād in His cause, then wait until Allah executes His command. And Allah does not guide the defiantly disobedient people." (9:24)

Should not be impressed by the wealth of the disobedient

So let not their wealth or their children impress you. Allah only intends to punish them through them in worldly life and that their souls should depart [at death] while they are disbelievers. (9:55)

It does not prevent the punishment of Allah:

Never will their wealth or their children avail them against Allah at all. (58:17)

Should not look down at those who do not have it:

They said, "How can he have kingship over us while we are more worthy of kingship than him and he has not been given abundance of wealth?" (2:247)

WHEN ACQUIRING IT

Must not acquire it unlawfully:

O you who have believed, indeed many of the scholars and the monks devour the wealth of people unjustly and avert [them] from the way of Allah. (9:34)

Indeed, those who devour the property of orphans unjustly are only consuming into their bellies fire. And they will be burned in a Blaze. (4:10)

O you who have believed, do not consume one another's wealth unjustly but only [in lawful] business by mutual consent. (4:29)

And do not consume one another's wealth unjustly or send it [in bribery] to the rulers in order that [they might aid] you [to] consume a portion of the wealth of the people in sin, while you know [it is unlawful]. (2:188)

Shayṭān partakes in unlawfully earned wealth:

... and become their partner in [illicit] wealth and their children and promise them." But Satan does not promise them except delusion. (17:64)

It must not distract from Allah:

O you who have believed, let not your wealth and your children divert you from remembrance of Allah. And whoever does that - then those are the losers. (63:9)

[Are] men whom neither commerce nor sale distracts from the remembrance of Allah and performance of prayer and giving of zakah. They fear a Day in which the hearts and eyes will [fearfully] turn about. (24:37)

O you who have believed, when [the adhan] is called for the prayer on the day of Jumu'ah [Friday], then proceed to the remembrance of Allah and leave trade. That is better for you, if you only knew.

Righteousness is not that you turn your faces toward the east or the west, but [true] righteousness is [in] one who believes in Allah , the Last Day, the angels, the Book, and the prophets and gives wealth, in spite of love for it, to relatives, orphans, the needy, the traveler, those who ask [for help], and for freeing slaves; [and who] establishes prayer and gives zakah; [those who] fulfill their promise when they promise; and [those who] are patient in poverty and hardship and during battle. Those are the ones who have been true, and it is those who are the righteous. (2:177)

O you who have believed, spend from that which We have provided for you before there comes a Day in which there is no exchange and no friendship and no intercession. (2:254)

The example of those who spend their wealth in the way of Allah is like a seed [of grain] which grows seven spikes; in each spike is a hundred grains. And Allah multiplies [His reward] for whom He wills. And Allah is all-Encompassing and Knowing. Those who spend their wealth in the way of Allah and then do not follow up what they have spent with reminders [of it] or [other] injury will have their reward with their Lord, and there will be no fear concerning them, nor will they grieve. (2:261-262)

And the example of those who spend their wealth seeking the pleasure of Allah and assuring [reward for] themselves is like a garden on high ground which is hit by a downpour - so it yields its fruits in double. And [even] if it is not hit by a downpour, then a drizzle [is sufficient]. And Allah, of what you do, is Seeing. (2:65)

O you who have believed, spend from the good things which you have earned and from that which We have produced for you from the earth. And do not aim toward the defective therefrom, spending [from that] while you would not take it [yourself] except with closed eyes. And know that Allah is Free of need and Praiseworthy. (2:267)

Allah has preferred those who strive with their wealth and their lives over those who remain [behind], by degrees. (4:95)

AFTER ACQUIRING WEALTH

Should spend generously in the Way of Allah:

The ones who have believed, emigrated and striven in the cause of Allah with their wealth and their lives are greater in rank in the sight of Allah. And it is those who are the successful ones. (9:20)

But the Messenger and those who believed with him strove with their wealth and their lives. Those will have [all that is] good, and it is those who are the successful. (9:88)

The believers are only the ones who have believed in Allah and His Messenger and then doubt not, and strive with their wealth and their lives in the cause of Allah. It is those who are the truthful. (49:15)

And those within whose wealth is a known share. For the beggar and the deprived. (70:24)

Should not be miserly with it:

And let not those who [greedily] withhold what Allah has given them of His bounty ever think that it is better for them. Rather, it is worse for them. Their necks will be encircled by what they withheld on the Day of Resurrection. And to Allah belongs the heritage of the heavens and the earth. And Allah, with what you do, is [fully] Acquainted. (3:180)

Who are stingy and enjoin upon [other] people stinginess and conceal what Allah has given them of His bounty - and We have prepared for the disbelievers a humiliating punishment - (4:37)

And those who hoard gold and silver and spend it not in the way of Allah - give them tidings of a painful punishment. (9:34)

But when he gave them from His bounty, they were stingy with it and turned away while they refused. (9:76)

If He should ask you for them and press you, you would withhold, and He would expose your unwillingness. (47:37)

Here you are - those invited to spend in the cause of Allah - but among you are those who withhold [out of greed]. And whoever withholds only withholds [benefit] from himself; and Allah is the Free of need, while you are the needy. And if you turn away, He will replace you with another people; then they will not be the likes of you. (47:38)

[Those] who are stingy and enjoin upon people stinginess. And whoever turns away - then indeed, Allah is the Free of need, the Praiseworthy. (57:24)

Should not spend it for showing off:

O you who have believed, do not invalidate your charities with reminders or injury as does one who spends his wealth [only] to be seen by the people and does not believe in Allah and the Last Day. His example is like that of a [large] smooth stone upon which is dust and is hit by a downpour that leaves it bare. They are unable [to keep] anything of what they have earned. (2:264)

And [also] those who spend of their wealth to be seen by the people and believe not in Allah nor in the Last Day. And he to whom Satan is a companion - then evil is he as a companion. (4:38)

Have you seen the one who denies the Recompense? For that is the one who drives away the orphan And does not encourage the feeding of the poor. So woe to those who pray [But] who are heedless of their prayer - Those who make show [of their deeds] And withhold [simple] assistance. (107:1-7)

Abū Kabsha Al-Anmārī narrated that the Messenger of Allah (s.a.w) said:

"I will swear upon three things, then I shall narrate to you a teaching that you should remember." He said:

Wealth of a slave (of Allah) never decreased by giving charity

Anyone who is mistreated and bears it patiently, Allah increases his respect.

Anyone who opens the door to begging [from people], Allah opens a door of poverty for him.

"And I shall narrate to you a narration, so remember it."

He said: "The world is only for four [types of] people:

Allah provides with wealth and knowledge, so he has Taqwa of his Lord with it, nurtures the ties of kinship with it, and he knows that Allah has a right in it. So this is the most virtuous rank.

And a slave whom Allah provides with knowledge, but He does not provide with wealth. So he has a truthful intent, saying: 'If I had wealth, then I would do the deeds of so-and-so with it.' He has his intention, so their rewards are the same.

And a slave whom Allah provides with wealth, but He does not provide him with knowledge. [So he] spends his wealth rashly without knowledge, nor having Taqwa of his Lord, nor nurturing the ties of kinship, and he does not know that Allah has a right in it. So this is the most despicable rank.

And a slave whom Allah does not provide with wealth nor knowledge, so he says: 'If I had wealth, then I would do the deeds of so-and-so with it.' He has his intention, so their sin is the same. (Tirmidhī)

TRADE AND SALES

Try to understand these principles, components and conditions as clearly as possible and you will be able to apply them in a vast range of transactions throughout your life.

BASICS

A **trade** is an exchange of valuables with mutual consent.

A **valuable** is something that is held in value, whether it is a good or service. (Islamic legal term: *māl* pl. *amwāl*).

A **sale** is an exchange of goods. (The Islamic legal term for trades and sales is: *bayʿ*, pl. *buyūʿ*).

Buying an item with cash, bartering goods, paying for a service, renting a product and doing a job for a salary all involve both sides giving and receiving something of value. Thus, all these transactions are included in trade.

And Allah has made trade lawful (2:275)

Do not consume each other's wealth unless it is a trade with mutual consent. (4:29)

The guidelines in this section apply to a wide range of sales.

However, you will need to be more aware of certain guidelines in certain situations.

The purchase process of buying clothes from a department store is usually a straightforward process. However, it is important to pay attention to the kinds of options you have in this type of sale.

When buying online, there will be other matters you will need to be attentive of, such as the conditions of the sale.

Purchasing a car or house will involve a much more detailed understanding of terms and conditions, and buying and selling for business purposes has other implications.

Whatever the context of your transactions, the fundamental principles remain the same.

COMPONENTS AND REQUISITES OF A SALE

THE MERCHANDISE

Anything bought or sold must generally meet these prerequisites:

1. EXISTENCE

The good or commodity being sold must exist at the time of sale. Selling a currently non-existent item is impermissible.

Examples:

- Selling a pregnant animal's baby before it is born.
- Selling milk while it is still in the udders of the cow.
- Selling off fruits or vegetables before they grow.

There are two exceptions to this rule: Advance Payment Sales and manufacturing contracts (See upcoming chapters for details).

2. SPECIFIED GOOD(S)

The good or commodity being sold must be designated.

A deal to sell one of a dozen different watches will not be valid, since the item being sold has not been designated.

3. SPECIFIED OWNER

The item must belong to a specific owner, whether it is a person or group. One cannot sell something that is not owned by anyone in particular.

Examples:

- Uncontained waters
- Free roaming wildlife
- Sand in the desert
- Unclaimed minerals and natural resources
- Sunlight
- Air

None of these items are owned by any specific owner; they are free for mankind to use. However, if someone invests energy and resources to contain, process and transport them, they can potentially sell them.

Spring Water

A person cannot stand at a free flowing stream and make people pay a price for each bucket of water they fill. However, if a company obtains the rights to bottle the water of a natural stream, and constructs a plant at the site, it will be lawful for them to sell that bottled water, because they have invested their resources in bringing it into those containers.

Landscaping Dirt and Sand

One cannot sell the sand from the desert, but if a landscaping company collects it from the desert and transports it to the city, they can sell it from their store.

4. DELIVERABILITY

The merchandise must be **deliverable at conclusion of sale** transaction. It must also be in the possession of the seller, and he must be in a position to deliver it when making the sale.

A person may not sell animals, birds or fish that have escaped captivity, because they cannot assure delivery of such merchandise. Similarly, one may not sell an item they have lost.

5. QUANTITY AND QUALITY

The quantity and quality of the merchandise must be sufficiently clear to the buyer at the time of sale. If necessary details are not provided, or a misleading description is given, the transaction is not valid.

This includes giving disclosure of the type, quality/grade of product.

If the buyer inspects the merchandise and is content with its quantity and quality, even though he may not know the exact quantity, the sale is permissible.

Chest of Toys

You see an online add for a box full of small toys for \$20. You visit the seller and take a look at the toys inside. You or the seller were not able to tell exactly how many toys were in there (it would be too tedious to count each one), but the price seemed right, and you were satisfied with the general condition of the items.

In this case, the sale will be valid because, though you did not know the specific amount, you had inspected and were content with the general amount of toys in the chest.

A person sells a garment claiming that it is pure silk. The customer buys it on the condition that it is pure silk, but after having it inspected discovers that it is another material. This sale is invalid. The customer will return the shirt and take his money back.

6. LAWFULNESS

The merchandise must be considered as a lawful good or commodity.

SOME UNLAWFUL COMMODITIES

X Alcohol

X Recreational drugs/intoxicants

X Carrion (haram meat)

X Swine/Pork/Skin or Parts of pig

X Idols/items symbolic of *kufr* or *shirk*

X Blood

X Parts of human body, human hair

X Any item that is *ḥarām* for one's own usage

X Musical instruments

X Products promoting sin or indecency

Unlawful for you are: carrion, blood, the flesh of swine, and those upon which (a name) other than that of Allah has been invoked (at the time of slaughter) (5:3)

O you who believe! Wine, gambling, altars and divining arrows are filth, made up by Satan. Therefore, refrain from it, so that you may be successful. Satan wishes only to plant enmity and malice between you through wine and gambling, and to prevent you from the remembrance of Allah and from ṣalāt. Would you, then,

*abstain?
(5:90-91)*

A man gifted a container of wine to the Prophet (ṣallaLLāhu ‘alayhi wasallam). The Prophet (ṣallaLLāhu ‘alayhi wasallam) asked him, “Do you not know that Allah has made it unlawful?” The man said that he did not know, then quietly conversed with another man. The Prophet (ṣallaLLāhu ‘alayhi wasallam) asked him what he was whispering about. He replied, “I asked him to sell it. The Prophet (ṣallaLLāhu ‘alayhi wasallam) said, “Surely the One who has forbidden its drinking has also forbidden its sale.” The man then opened the vessel and let all the wine pour out into the sand. (Muslim 1075; Ibn Ḥibbān 4944 from ‘Abdullah b. ‘Abbās(ṣaḍiyahullahū ‘anhu))

1. Have you ever purchased or sold something without knowing the exact quantity? Based on what you have learned, was the deal permissible or impermissible?
2. Give your own example of something that did not have a designated owner, but someone spent money on containing, transporting and selling it.
3. Based on the list of unlawful commodities above, list three kinds of businesses or jobs that would not be lawful.

THE PRICE

The exact **amount, type, mode, place** and **date** of payment must be determined at the time of the transaction.

This is the information we need to clarify about the payment in any sale transaction:

1. AMOUNT OF PAYMENT

The full and exact amount to be paid must be clarified.

It is not permissible to introduce hidden costs after the buyer has agreed to pay a certain amount.

Similarly, a buyer may not purchase an item for an undisclosed amount, saying he will share later what that amount is.

2. FORM OF PAYMENT

Whether the payment will be made in the form of a) **money**, b) **goods** or c) **services**.

Example of A: 1kg of apples for \$1.50

Example of B: 1 kg of apples for 1kg of pears

Example of C: 1kg of apples for 1 hour of labor

3. CURRENCY

If the payment is in money, the **currency** must be determined before the sale is completed.

If you have ever shopped online, you may have noticed that online stores indicate the currency along with the price of the product, or in the checkout/purchase page of their site. It is important to make sure you know which country's currency you are paying in, especially when ordering from another country. Many countries share the same name for their currency -such as dollars, pounds and rupees- though the value of each country's money is different.

1. Have you ever purchased something with another currency? When did you learn which currency you had to pay in?
2. What might go wrong if the currency was not clarified at the time of sale?

3. MODE OF PAYMENT.

In any given transaction, it is important to determine which modes of payment are acceptable to the seller, and which ones the buyer is able to pay in. There are numerous ways of paying for a purchase, including cash, check, credit card, debit card and bank transfer. The buyer and seller must agree on what method will be used to make payment before the sale is complete. Once an agreement is reached, the transaction can move forward. If this is not clarified in the beginning, the transaction will cause dispute, not to mention frustration and inconvenience to all.

Not every mode of payment is acceptable in every transaction. You may have seen that some vendors

only accept cash, while others may accept cards. Those who welcome cards may specify which types of cards they accept for payment.

A person who sets up a stall on a weekend market may only accept cash. The same applies to people selling items on a community-based online platform, where the item is picked up from the vendor in person. Most of the time these sellers will only accept cash. The buyer will need to arrange the cash in order to purchase the item. Imagine going to a private home to buy some used sports equipment, with only a credit card in hand!

However, buying from an online source where the item is shipped to you will most likely require payment by card. The same applies to purchasing airline tickets, or making a hotel or rental car reservation.

Many brick-and-mortar stores, however, accept a variety of payments to accommodate both cash and card customers.

4. DATE AND SCHEDULE OF PAYMENT

While many purchases require immediate payment, some sales may allow payment on a later date, and others may permit payments in multiple installments.

The date and schedule of payment should be determined during the transaction prior to completing the transaction. A deal in which this is not clarified is not permissible.

Pay Me 'Later'

A man sells an item to a close friend, who does not have the cash to purchase at that time. He tells him that he can pay him later, at his own convenience. While this was nice of him, it could lead to misunderstandings, because *later* might mean *1 week* to the seller, but *1 month* to the buyer. Each side will proceed based on their own assumptions, which do not match. This mismatch can lead to a dispute. This is why a buyer and seller must agree on the timeline and terms of payment.

(See further details in section on credit sale)

Who Pays First?

A person purchases an item with **money**. The seller says, "Hand the money over to me first and then I will give you the item." The buyer hesitates, insisting on receiving the merchandise before handing over the payment. In this case, the seller has the right to demand payment before handing over the item.

However, if they are bartering (exchanging goods for goods), exchanging money (such as buying another currency), neither party has the right to withhold, and both are required to exchange at the same time.

THE TRADING PARTIES

AGE AND INTELLIGENCE

The basic requisite for a person to buy or sell is that they must be **sane** and at an **age** where they are able to understand the transaction and its implications.

Children and Monetary (Money) Transactions

Have you ever bought something as a child? Have you received a treat from a friend's parents were you were small?

Here is a summary of the kinds of transactions children can conduct:

Type of Transaction	Example	Outcome
Giving Out Wealth/ Definite Risk	Charity, loans	Not allowed, even if the guardian gives permission
No Financial Risk	Receiving a gift	Allowed
Possibility of Gain or Loss	Purchase and Sale of Goods	Allowed with permission of guardian, if child is of age of discernment.

PLURALITY (MORE THAN ONE PARTY)

The Buyer and Seller must be two different parties.

A person cannot sell to themselves. Likewise, a company cannot buy its own assets, or sell to themselves.

POSSESSION

A sale results in the merchandise becoming the property of the buyer, and being transferred into his possession. There are two types of possession:

ACTUAL POSSESSION

This is when the item is physically handed over to the buyer.

A person walks into a garage sale, buys a lawnmower, and puts it in the trunk of their car. They have taken actual possession of the item.

CONSTRUCTIVE POSSESSION

The merchandise is placed in such a way that the buyer has control over the merchandise and can retrieve it any time.

A person purchases a car and the seller hands over the keys to the customer, telling him the car is now his and he is welcome to take it. The buyer takes the keys but leaves the car on the seller's driveway, saying that he will come back with a friend to pick it up later. Though the car is physically on the seller's driveway, the buyer has taken constructive possession of it.

POSSESSION = TRANSFER OF LIABILITY

It is important to note who has possession of the merchandise at any given time during the sale process, because the merchandise remains the risk and liability of the possessor.

In both cases above, the liability has transferred to the buyer. If anything happens to the item after actual or constructive possession, the buyer is liable for it and must bear the loss.

In the first case, the buyer brings the lawnmower home and drops it while unloading it from his trunk, breaking the blade. He must bear this loss from his own pocket, as the item has been damaged in his possession, thus his liability.

In the second case: After the seller left the car, someone backed their truck into the driveway and hit the newly sold car. Here also the buyer is liable for the loss because he has taken constructive possession of the car.

Let's change the scenario:

The seller, while wheeling the lawnmower over to the buyer's car, pushes it over a rock and breaks the blade.

In the car scenario, the seller asks the buyer to pay the full amount, after which he would hand over the keys. While the buyer is gone to withdraw money, the truck backs into the seller's driveway and damages the car.

In both these cases, the seller still has possession of the property, and therefore must assume any risks related to it. He will be solely liable for the damage that has occurred.

Both actual and constructive possessions take various forms depending on the kind of property being purchased. In fact, possession plays a major role in transfer of liability in all transactions where property changes hands. This includes gifts, loans, deposits, rents and leases. It is important to know what possession and transfer of possession looks like in these transactions, because many outcomes and consequences depend on it.

THE TRANSACTION

In both scenarios, customer and vendor have implicitly agreed to the terms of the sale. That is, their conduct in both cases is clear evidence of offer and acceptance with mutual agreement. Thus, the sale is complete even without using words.

CONTRACT/ AGREEMENT

The basic elements of a sale contract is **offer** and **acceptance** with **mutual agreement**. While an offer can be worded in various ways, the acceptance must be in a language that leaves no doubt that the deal is finalized.

Terms like “I’m interested” or “I will be purchasing” are open ended and do not finalize a deal.

Secondly, the acceptance must match the offer.

If the buyer offers to purchase Item A for \$10, and the seller accepts to sell Item B for that price, the sale is invalid.

If the seller offers to sell an item for \$12, and the buyer agrees to buy it for \$10, the sale is invalid.

Also, when the discussion is taking place in the presence of both parties, the acceptance needs to occur in the same meeting. If either party walks away before acceptance, that offer will be null and void. The offer and acceptance need to be repeated if both parties wish to complete that transaction.

Sometimes, the offer and acceptance are implicit but understood clearly by both parties.

Unspoken Contracts

A- You walk into a grocery store, put a number of items into your cart and go to the cashier. He greets you, scans your items and places them in a bag. You tap your card on the reader, collect your receipt and bag, and walk away. In this entire process, you did not verbally offer or accept to purchase anything, nor did the store employee verbally offer or accept to sell you the goods.

B- A customer asks a butcher for \$20 worth of a certain type of meat, cut in a certain way. The butcher weighs and slices the meat. The deal is final now, and the customer cannot refuse to accept the meat.

TYPES OF SALES

SPOT SALE

This is when both payment and merchandise are exchanged in one sitting, such as a cash purchase made at a retail store.

ADVANCED PAYMENT SALE

In this type of sale, the buyer pays in advance, and the product is delivered on a later date. You have read in the conditions of sale that the item sold must exist and be specified at the time of sale. Based on those principles, this sale should be unlawful. However, Islamic teachings also take into consideration the needs of businesses, markets and industries. A farmer may need money to harvest his crop and sustain his family until harvest. If he does not collect payment in advance, he will not be able to sustain himself or harvest, and there will not be any crop for him to sell. He can offer to sell a certain amount of his produce to be delivered later, and take the payment up front. This way he has money to invest in that year's crop, and can fulfill his needs as well. The advantage to the buyer is that he will get the merchandise at a much better price because he is paying in advance. This will also help both avoid potential market risks, which may be disadvantageous to one or both parties.

MERCHANDISE

This type of sale is only allowed if the following are clearly defined and agreed upon at the time of the sale:

PRODUCT SPECS

1. Depending on the type of merchandise, this may include type, model, make, features, brand, quality.
2. The specs must be defined to the extent that the merchandise becomes distinct from any similar products.

3. The Advanced Sale is only permitted in homogeneous goods. This means that all the units of that commodity are exactly, or almost exactly the same. Items that are sold in weight, volume or length are homogeneous.

Homogeneous Goods

Take a kilogram's worth of wheat (any type) and look at the grains. You will notice that they all look identical. The minute variations in the shape or size of the grains do not affect their value. The same would apply to milk; each milliliter is similar to the other. In a bolt of cloth measured in meters, each meter is identical to the others. This rule also applies to products sold by counting the units. Eggs are an example of this. Though they may be sold in dozens, all the eggs (of one type) in a dozen are very similar in size and shape. The slight variations are negligible and do not affect their value. Thus, wheat, milk, fabric and eggs are all example of homogeneous goods.

QUANTITY

This may measured in weight, volume, length or number of units.

PRICE

The price must be fixed and known (See section above on Price).

DATE OF DELIVERY

This should be at least one month from the time of the sale.

PLACE OF DELIVERY

Whether the merchandise will be delivered at the place of sale, or another location.

AVAILABILITY/FUNGIBILITY

The Advance Payment Sale is only permitted for goods readily available in the market from the time of the deal to the delivery.

This way, if the seller is unable to provide the goods from his intended source, he can always obtain it from another source and deliver it on time. A good that can be replaced by a like good is called *fungible*.

This is why advanced payment sales may not be conducted for a specific item, such as a specific car parked at a certain spot, or fruit of a specific garden, because there is no guarantee that the specified car

will remain intact until the date of delivery, or that the specific garden will yield that amount of fruit. If the deal was made on a certain make and model of car, or a certain type of fruit, it would be permitted.

PAYMENT

Because it is an Advanced Payment Sale, the payment must be made up front, and the seller must take possession of the payment at the time of the sale.

If payment is delayed to a later time, it becomes a debt on the buyer, and the goods a debt on the seller. Having a two-way debt transaction, ("I'll pay you this much later if you sell me this later") is not permitted.

NO PRESALE OR ALTERNATE INVESTMENT

The buyer, while waiting for delivery of the merchandise he has paid for, cannot 'advance sell' it to another party until he first takes possession and ownership of it. Can you think of some reasons why?

The seller, after receiving payment, must not invest that money in any other deal, until he has delivered the goods to the buyer.

CREDIT SALE

This is the opposite of the Advanced Payment Sale. The buyer picks up the merchandise, and pays later.

This is permitted provided that the price, time and place of payment are decided and agreed to at the time of the sale.

A sells a laptop to B, for which B says he will pay after two months. A agrees, but does not fix a price. The deal is not allowed.

A sells a laptop to B for \$500, which B says he will pay later. No time frame is decided. The deal is not allowed.

BUYING IN INSTALLMENTS

Paying for a purchase in installments is permitted, provided the following conditions are met:

1. The final amount to be paid is fixed and agreed to at the time of the deal. Eg. Total price: \$1200 to be paid over a year.
 - i. The seller can give an option to the buyer to buy cash or credit, and even have separate prices for each option. For example, he may offer to sell a laptop for \$1000 if the buyer pays the full amount at the time of the sale, or for \$1200 if he chooses to buy it over a one year period. Once the buyer accepts one of these options, the price becomes fixed.
2. The payment schedule must be set at the time of the deal eg. 12 monthly payments of \$100, starting on January 1st and ending December 1st.
3. The seller may not charge a penalty for a delayed or missed payment
 - i. Such a penalty is unlawful to take as it is interest.
4. The seller may not increase the price if the buyer asks for an extension on the payment period.

(See Discussion on Credit Cards)

CURRENCY/GOLD/ SILVER EXCHANGE

Because gold and silver are designated as mediums of exchange, they are treated as currency, even if they are used for another purpose, such as jewelry.

1. Whenever exchanging bills or coins of the same currency, or gold for gold, or silver for silver, the amount on both sides must be the same.
 - i. It is not permissible to exchange \$10 AUD for \$12 AUD, or 1 gram of gold for 1.5 grams of gold or 1 gram of silver for 1.5 grams of silver.
 - ii. Any excess in the above exchanges is interest and unlawful.
2. However, if one currency is exchanged for another, there may be a variation in amount.
 - i. \$10 AUD could be exchanged for \$12 US
 - ii. 1 gram of gold could be exchanged for 10 gram of silver

- iii. Any amount of cash could be exchanged for gold or silver, and vice versa.
- 3. In all cases of currency/gold-silver trade, the transaction must be a spot transaction. In other words, both currencies must be exchanged on the spot, at the time of the sale.
 - i. This applies to gold and silver jewelry, as well as bricks.
 - ii. Gold and silver jewelry must be sold as a spot transaction, credit sales are not permitted in this.

See Section on Ribā'ī Faḍl

OPTIONS

Both parties can also place certain conditions, or 'options' when making the deal. However, the option clause must be stated and agreed upon before the deal is finalized. In other words, they must be a part of the contract to be valid.

WITHDRAWAL/ RETURN OPTION

Either party may keep an option to withdraw from the sale up to a certain time period. The party that has kept this option can exercise it within that time. If the seller keeps this option, it means he may cancel the sale and take back the merchandise within the agreed time. If the buyer has asked for the option, it means he has the right to return the property and have his payment fully refunded. If the merchandise is damaged within the set period, the buyer must replace it or pay its full value.

Here are the rules for this option:

1. It must be placed before the deal is complete.
2. The other party must be a witness to it.
3. A time limit must be set for the option, prior to concluding the sale.
 - a. There is no maximum period for this option; it is subject to agreement of both parties.
4. It is necessary to inform the other party when deciding to exercise the option. It is not permissible to use it without giving notice.
5. The option ends when:
 - a. The period is complete
 - b. The buyer uses the merchandise (in the event that he has placed the option)
 - c. The party keeping the option expresses that they no longer want the option, or that the sale is final and binding.
6. If the seller has placed the option, he remains owner of the merchandise as long as the option is valid.

7. If the buyer has kept the option, his ownership is conditional and not complete as long as the option is valid.

FALSE ADVERTISEMENT/ DESCRIPTION OPTION

A vendor sells merchandise claiming it has a certain desirable feature. The buyer purchases it because of this feature. It is later proven that the item does not have that feature. The seller now has the option of either cancelling the sale, or accepting the item for the set price.

A farmer sells a cow with the description that it gives milk. When the buyer takes it home, he discovers that no longer gives milk. The buyer can now use the misdescription option.

A car dealer sells a vehicle claiming it has a GPS navigation system. The customer discovers after buying it that the car does not actually have this feature. He will be awarded this option.

PRICE FRAUD OPTION

A merchant is not obliged to sell his merchandise at exact market value; he may sell at a higher or lower price as long as the customer agrees to it. However, if selling at an exorbitantly high price, he may not deceive the customer into thinking that he is buying it at market value.

If he sells at a price that merchants of that market consider to be very high, but tricks the customers into thinking they are getting a fair price, the customers can return the item and demand full repayment.

A similar option is awarded to a seller who is deceived by a buyer into thinking that he is getting market value for his merchandise, when the buyer is actually paying much less. If the seller discovers he has been deceived into giving the item away for much less than market value, he may demand that the item be returned and refund the amount he was paid.

This option is used with the following conditions:

1. It is confirmed that the buyer or seller was given misinformation about the price.
2. The buyer did not use the item after learning about the fraud.

INSPECTION OPTION

When buying something without seeing it, the buyer has the right to see the item before deciding whether to uphold or cancel the sale.

There is no fixed period for this option. It is valid until the buyer is able to see the item to the extent generally allowed in that industry. Once he has seen it to that extent, he must decide to keep it or not, as the option will expire at this point.

If the buyer begins using the item, damages it in a way that will make it difficult to return to the owner, or expresses agreement to keep it, the option becomes void. Similarly, if the buyer sells it, gives it to someone as a collateral, or dies.

This option is not awarded to a seller who sells an item without first seeing it.

DEFECT OPTION

It is the seller's duty to ensure there is no defect in the merchandise. If there is an existing defect, it is his duty to disclose it to the buyer.

One who sells defected merchandise without disclosing the defect is sinful.

Abū Hurayra (*raḍiyāLlahū 'anhu*) narrates: The Prophet (*ṣallaLlāhu 'alayhi wasallam*) passed by a heap of grain (for sale). He put his hand into the heap, and felt moisture on his fingers. "O grain-seller, what is this?" he inquired? "Some rain fell on it," the man replied. The Prophet (*ṣallaLlāhu 'alayhi wasallam*) said, "Then why did you not place the wet grain on top [of your heap] so people could see it? One who deceives [customers] is not from me." (Muslim 102; Tirmidhī 1315)

It is not lawful to trade with his brother while he is aware of a defect [in his merchandise] unless he discloses it. (Ibn Mājah 2246; Aḥmad 17487; Daylamī 6588 from 'Uqba b. Āmir)

(See the section on Ethics of Trade for more details.)

CONDITIONS

Here are the conditions of using this option:

1. The defect existed at the time of purchase and does not occur after.
 - i. If the defect occurred after the buyer took possession of the merchandise, he cannot use this option.
2. The seller did not disclose it at the time of sale or possession of the merchandise.
 - i. If the seller disclosed the defect and the buyer agreed to buy it with anyways, he cannot return it because of that same defect.
3. The sale was not an 'as is' sale, where the seller clearly states that he is not responsible for any defects, and it is the buyer's duty to inspect and decide if he wants it.
4. The defect cannot easily be removed.
 - i. If the defect can easily be rectified, the seller will repair it and give it back to the buyer, and he will have to accept it.
5. The buyer did not cause a defect of his own that makes it impossible for the seller to take it back.
 - i. If the buyer caused another defect of to the merchandise due to which the seller cannot take it back, this option expires.
6. The buyer did not express agreement to the sale while knowing of the defect.
 - i. Similar to 2.i., if the buyer discovered the defect or flaw on his own and did not express disapproval, he cannot use this option.
7. Once the buyer takes possession of the item, this option can only be exercised with the seller's consent, or a court decision. If he uses the option

before taking possession of the item, the seller's consent is not required.

OUTCOME:

When using the defect option, the buyer is not entitled to compensation in lieu of the defect, nor can he demand a reduction in price. The existing sale agreement requires him to either take the merchandise at the agreed price, notwithstanding the defect, or return it. However, if the seller voluntarily compensates the seller, or offers a reduction in the previously agreed price, he may.

There is no fixed period for this option. Rather, it is subject to the defect being discovered, and it being established that the defect existed at the time of the sale.

If the buyer takes the item back to the seller, and he takes it back and refunds the price, the item is now at his risk. If the item is damaged after this point, it will be the liability of the seller. However if the seller did not refund the payment, and the buyer left the merchandise with him, this will not be considered a return.

If there is disagreement amongst merchant whether to consider something as a defect or not, it will not be considered a defect.

If one buys an item 'as is', they may not use this option.

If the seller vaguely mentions that there may be a defect in the merchandise, but does specify one, the buyer may, upon discovering it, use this option.

DISAGREEMENT

If the seller does not admit to the defect, and the buyer wishes to come to a settlement by returning the merchandise to him, deducting some amount of his payment and retrieving the rest, it is permissible.

If the seller admits to the defect, but wants to keep some of the price as well as the item, this is not permitted, as this a form of bribery.

EXPIRY OF OPTION

This option expires when:

1. Seller expresses contentment with the merchandise, notwithstanding the defect.
2. Seller uses the merchandise as if it were his own, after discovering the defect.
3. The seller offers to sell or rent the merchandise to another party.
4. Repairs the merchandise. In the case of an animal, treats it.
5. Places the merchandise as collateral for a debt.
6. Gifts it to someone.

RESCINDMENT

Once a sale is complete, it cannot be undone by any one party. If, however, a person feels compelled to terminate the sale out of some necessity, he will need agreement from the other party. If both parties wish, they may mutually agree to annul and rescind the sale. In such a case, the exact amount of payment must be returned; the seller may not keep any of the payment or ask for more payment as a condition of the annulment.

One who annuls a sale for a Muslim, Allah will annul his error on the Day of Judgement (Abū Dawūd 3460; Ibn Ḥibbān 5029 from Abū Hurayra)

TRANSACTION OUTCOMES

Based on whether the rules, principles and conditions of a transaction, it will be categorized into the follow categories

VALID TRANSACTION

If all the conditions of a sale are met, the sale is valid, and ownership of the property transfers to the buyer. Any items that are usually recognized as part of the sale are also transferred to the buyer, and any encumbrances to accessing and using the property must be removed. For example, sale of a house will include its keys, sale of a packaged item will include its packaging. If the seller was living in a house he sold, he must vacate it and give complete access to the buyer.

VOID/INVALID TRANSACTION

If the fundamental elements or conditions of a sale are not fulfilled, the sale is void and invalid. A void sale does not transfer ownership. This means that the seller cannot take the payment, nor can the buyer take the merchandise, because they do not become owners of it. Even if payment or merchandise have been exchanged, they must be returned.

Examples of void transactions:

- A sale in which the offer or acceptance were not conducted, or mutual agreement was not reached.
- Sale of non-existent objects

- Sale of non-deliverable objects
- Sale of a liability or debt
- A sale of *ḥarām* (unlawful) commodities
- The sale of an insane person.
- Sale of stolen property.

Because the seller does not have right to claim payment in a void sale, it is unlawful for him to keep it. It is similarly unlawful for the buyer to keep the merchandise.

DEFECTIVE TRANSACTION

This is a sale having an element that will lead to dispute. Dispute arises when an important precondition is not fulfilled, or a problematic condition is placed in the sale.

UNFULFILLED CONDITIONS

- Merchandise was not clearly defined or specified: Selling one of four vehicles, not specifying the brand or specs of an item
- Price was not sufficiently defined: Selling an item for "Whatever it is worth".
- Date or period of payment or delivery was not sufficiently specified: Will deliver as soon as possible, will pay as soon as feasible.

PLACING DEFECTIVE CONDITIONS:

- Selling on the condition that the buyer cannot use for a certain period.
- Selling on the condition that buyer cannot sell it to another person.
- Selling on the condition that the buyer may not inspect the item.

OUTCOMES

This transaction is not valid, but if the unfulfilled conditions are met, or the incorrect condition is removed in the gathering of the transaction, it can be rectified.

For example, seller told buyer that he would sell him one of three different shirts he had for \$20. The buyer agreed, and the deal was finalized. Before making payment, the buyer realized that he did not know exactly which shirt he

was purchasing, and ask the seller to specify the item for him. The buyer did so, and the deal was completed. The sale was defective at first, but was corrected while seller and buyer were still present.

If the shirt had been handed over, and the buyer had given the money, this deal would have remained impermissible because a crucial piece of information about the item was missing from the transaction. It would have been necessary to annul the transaction and return both payment and item.

UNDESIRABLE/ UNETHICAL

A sale is undesirable when it shows neglect of a religious teaching, even though the transaction itself fulfills the technical conditions.

Buying or selling after the adhān of jumu'ah is makrūh. Though the sale itself maybe valid, the person incurs the sin of breaking the command in this verse:

O People who Believe! When the call for prayer is given on Friday, then rush towards the remembrance of Allah and cease trading; this is better for you if you understand. (62:9)

Similarly, when two parties are in the process of offer and acceptance, a third party is prohibited from interjecting with their own offer until the first discussion has been concluded. If the seller ends up leaving the first customer and giving the product to the interjector, the sale maybe valid but the buyer will incur the sin of breaching this instruction:

Do not interrupt the trade of your brothers with your own trade. (Muslim)

Another example is, during an auction sale, a person keeps bidding to raise the price for his competitor, though he has no intention to purchase the item himself.

Do not raise bids without intention of buying (Muslim)

SOME GENERAL GUIDELINES IN ISLAM

There are many ethical considerations in sales, including:

1. Truthful and complete disclosure of information. The seller must give full and truthful information about the product, including its type, origin, and cost.

“All merchants will be raised as sinners, except for those who were conscious of Allah, dutiful and truthful.” (Tirmidhī, from Rifā‘a 1210)

2. Ease of conduct. The seller and the buyer should not be too harsh in their conditions or insist on prices too high or too low.

“May Allah have mercy on one who is lenient when he sells, buys and collects payment.” (Bukhārī, from Jābir)

3. Abstinence from hoarding. This is when a merchant holds on to essential goods when people are in need of them, waits for market supply to be depleted, then sells at an exorbitant price.

“One who hoards is sinful” (Muslim, from Ma‘mar b. Abdullah 1605/129-130)

4. Avoiding oaths. Even if the oath is truthful, it contradicts reverence for the name of Almighty Allah to use it for the sake of selling merchandise.

“Taking oaths (while selling) may liquidate the merchandise, but it erases the blessings” (Bukhārī from Abū Hurayra 2087)

5. Frequent paying of charity: It is recommended that a merchant pays charity often to atone for any swearing, dishonesty, concealment of details, poor conduct, undue profit.

“O Merchants, oaths and lies appear while conducting business, so mix your trade with charity.” (Tirmidhī from Abu Barza 1208,)

6. Documentation and witnessing of all debts: It is desirable that all contracts and loans be written, and that witnesses sign for all delayed sales and debts, as Allah has prescribed in the Quran [2:282].

RENT/LEASE

While a sales contract involves buying an actual item or thing, a rental contract involves paying for the use or benefit of something, such as space, transport or utility. When you rent a car, you are paying for its usufruct, which involves the transport, luxury and any other benefits it may have. When someone buys the usage of something for a certain period of time, we say they have *bought its usufruct*, or, in simple terms, rented it.

In a rental contract, the person renting out the item (the lessor) is similar to the seller in a sales contract, and the one renting (lessee) is like the buyer. The usufruct is like the commodity being sold. Therefore, it is necessary that the usufruct exist, be specified, deliverable, lawful and its time and terms of usage be designated.

In a sale, the seller hands the merchandise over and transfers ownership to the seller. In a rental agreement, the lessor keeps ownership of the item and only transfers the usufruct to the lessee.

In a sale, the seller is not responsible for defects occurring after a buyer takes possession of it. In a rent or lease, however, if the item becomes defective –without any fault of the lessee- the lessee may cancel the rental agreement.

If someone rents a vehicle and it breaks down, the renter may cancel the rental.

It is permissible to defer both the usage and payment to the future in a rental agreement.

For example, lessee and lessor can agree that the lessee will rent such apartment from the lessor in such month, for a rent of so many dollars. This contract becomes binding, though nothing has been exchanged yet, and neither party can unilaterally withdraw from this agreement.

A good that is consumed as it is used, such as water, food, fuel may not be leased.

Usufruct maybe used as payment for rent, provided it is different from the what was rented.

Someone may rent their apartment to a tenant and accept garden work as a rental fee.

The rental agreement is binding unless such a situation arises which does not allow the lessee to utilize the usufruct.

If someone rented a hall for wedding, then the wedding was cancelled or postponed, the renter could cancel the agreement from his side.

The time period for the rent must be specified. It is not permitted to have an open-ended rental arrangement with no specified term.

The lessee is liable for any damage to the rented property arising from his negligence. This includes using it for a purpose other than that determined in the lease agreement.

Someone rents a truck for transporting goods. The truck has a load limit of 1 ton, and this is stated in the agreement. The renter loads 1 ½ tons of goods on the truck, resulting in damage to it. The renter is liable to pay for this damage. Similarly, if a vehicle designed and leased for transporting people is used for the transport of chemicals, the renter is responsible for the damage.

In all these cases, the lessor may void the agreement.

The options used in sales may also be used in rental agreement.

HIRING/ EMPLOYMENT

- Employers should pay wages as per the agreed schedule, and not keep their employees waiting.

TYPES OF HIRED WORKERS:

1-CONTRACTOR/ NON-EXCLUSIVE WORKER

A contractor is someone whose service is not exclusively for one client or employer. They may provide their service to multiple clients. Tailors, lawyers and accountants fall under this category. As long as the contractor is completing the work he was hired for, the client cannot prevent him from working for someone else.

The contractor's salary is subject to completing the work that was given. If he took advance pay and did not complete the work, he will have to return the pay.

There are no fixed timings for contract work. However, if it was agreed that he will complete the work by a certain time, he must abide by it.

The contractor is responsible for any material given to him for his work. If it is ruined, he will be liable.

For example, someone gives a length of cloth to a tailor for stitching. If the tailor damages or ruins the cloth, he is liable for it.

If the worker delivers a product different than what was asked, the hirer has the option to either:

- (i) demand compensation for the value of the raw material, or
- (ii) accept the delivered product and pay the wages for producing a similar one.

If the delivered product is superior to the one described in the contract, the hirer will have to consider one of these two options:

If the superior product is of use to him, he may keep it, but will only pay the worker the agreed wages.

If the product is not useful to him, he may ask compensation for the value of the raw material.

If the product is inferior in quality to what was stipulated in the contract, he may either accept it

OUTLINE

Employment is when someone pays for a service rendered by another.

The work must be lawful, as it is impermissible to hire someone for a work that is unlawful.

As in sales and rental contracts, the specific service, period and compensation must be agreed upon at the time of the contract.

Ambiguity on these matters may render the contract invalid.

EMPLOYMENT ETHICS

The work that the employee has been hired for is a trust. As such, he should endeavor to do it in the best way possible.

- If working hours are set, the worker should be punctual. It is obligatory to arrive on time and leave only after the time is up.
- During working hours, the employee must not use their time in a manner unacceptable to the employer.

Using work hours for personal work, socializing, browsing the internet or other unrelated activities is unethical and Islamically impermissible. One may use break times for such activities.

- The employee should not use company property, equipment or resources for personal use unless they have the employer's permission to do so.
- Employers should be kind and clement toward their employees. They should not work them to an extent not justified by the wages.

and discount the wage accordingly, or demand compensation for the raw materials.

Employees within the catering or food business will be paid once the food is prepared. If the food is ruined or burnt due to negligence of the employee, the employer may refuse payment.

employee and employer agree with the form of payment.

LAWFUL/UNLAWFUL JOBS

2-DESIGNATED EMPLOYEE

This is someone hired to work for one employer for a specific time period. He may not work for another party at the same time, during the timings he has agreed to work, or in a manner that will compromise his ability to work.

An employment contract should clarify and bring both parties to agreement on the following:

- Description of work and duties
- Timings in which these works and duties are to be conducted.
- Wages, schedule of compensation (daily, bi-weekly, monthly etc.)

The employee is not liable for the equipment or material given to him to work with, unless he damages it out of negligence.

By now you have understood that earning and spending directly affect one's dīn.

Consuming from unlawful sources draws the displeasure of Allah, is void of blessings and brings distress and troubles.

A body nourished by *ḥarām* shall not enter Paradise (Ṭabarānī, *al-Mu'jam al-awsaṭ* 6/112 from Abū Bakr (raḍiyaLlahū 'anhu))

O people, Allah is Pure and therefore accepts only that which is pure. And Allah commanded the believers as He commanded the Messengers by saying: "O Messengers, eat of the good things, and do good deeds; verily I am aware of what you do" (Q 23:51). And He said: "O those who believe, eat of the good things that We gave you" (Q 2:172). He then made a mention of a person who travels a long distance, his hair dishevelled and covered with dust. He lifts his hand towards the sky (and thus makes the supplication): "O Lord, O Lord," whereas his diet is unlawful, his drink is unlawful, and his clothes are unlawful and his nourishment is unlawful. How can then his supplication be accepted? Muslim 1059, from Abū Hurayra (raḍiyaLlahū 'anhu))

WAGES

- The wage must be defined and agreed upon.
- The compensation must be lawful.
- Wages should be paid as per the schedule agreed upon in the contract (daily, weekly, monthly). The employer may advance the salary at the request of the employee, or at his discretion. Deliberately delaying the payment beyond the agreed date is not permissible

"Pay the labourer his wages before his sweat dries"
Ibn Mājah (2443) from 'Abdullah b. 'Umar (raḍiyaLlahū 'anhu); Bayhaqī (11988) from Abū Hurayra (raḍiyaLlahū 'anhu)

- A wage may be in the form of cash, kind or services, provided it is lawful. It is necessary that

IDENTIFYING UNLAWFUL EARNINGS

Here are some elements be wary of, as they result in a job being unlawful.

- Production, sale or provision of a *ḥarām* substance
 - A job that involves selling, preparing or serving alcohol, *ḥarām* meat
- Production, sale or provision of *ḥarām* products
 - Jobs involving the entertainment industry, indecent images or material, clothing, statues
- Facilitation or participation in unlawful activities

- Jobs involving gambling, lottery or indecency
- Jobs that involve giving or taking bribes
- Facilitating unlawful earning
 - Working for an interest-based bank
- Causing harm to self or others
- Carrying out oppression to other Muslims
- Requiring compromise of religious duties
 - Job disallowing *ṣalāt*, *ḥijāb*
- Requiring breaking of country's laws

“Surely Allah enjoins justice, kindness and the doing of good, to kith and kin; and He forbids all that is shameful, indecent, evil, rebellious and oppressive.” (Q 16:90)

Many jobs today have elements of both permissibility and impermissibility. It is important to study all the aspects of the employment and consult with knowledgeable scholars to see if the job is lawful or not.

INTEREST

This verse was likely revealed in the early Madinan period prior to Year 4 of *hijra*. It is in response to a challenge posed by the Jews of Madina, most of whom had departed from Madina after 4 AH:

BACKGROUND

Islam does not recognize loans as income-generating transactions. A loan is a charitable and benevolent act, meant for people who generously use their money to assist someone in need and thereby achieve a reward from their Lord. It is also a means for people to safeguard their money by keeping it with someone who is able to secure it. This is the nature of loans in all Divine Scriptures, which have forbidden the use of loans for profit and exploitation. The Qur'an and hadiths have covered the matter of interest (*ribā*) extensively, and many detailed works have been compiled on the harmful effects of interest on economies and societies.

TIMELINE OF THE VERSES OF *RIBĀ*

There are four sets of verses pertaining to the topic of interest, mentioned here in chronological order.

1- AT MAKKA: SURA AL-RŪM

First, in Surah Ar-Rum, a Makkan Surah wherein the term *ribā* finds mention in the following words: The first verse regarding *ribā* revealed in the Makkan period, in sura al-Rūm.

And whatever ribā you give so that it may increase in the wealth of the people, it does not increase with Allah. (Q 30:39)

Though *ribā* was not yet made unlawful, the verse indicated that *ribā* was disliked by Allah, and was void of blessings

2- SURA AL-NISĀ'

The second verse was revealed at Madina in sura al-Nisā' in which the term *ribā* is used in the context of sinful acts of the Jews:

"And because of their charging ribā while they were prohibited from it." [An-Nisaa 4:161]

"The People of the Book ask you to bring down upon them a Book from the heaven." [An-Nisaa 4:153]

Ribā was forbidden in the previous scriptures, including the Torah. Its prohibition remains until today in the Old Testament of the Bible. This verse clarifies the sinfulness of the act.

3- SURA ĀL 'IMRĀN

The third verse is in sura Āl 'Imrān, with clear words of prohibition:

O those who believe do not eat up ribā doubled and redoubled. (Q:130)

This verse is estimated to be revealed in the year 2 AH, since the verses before and after it pertain to the Battle of Uḥud, which occurred in that year. Ibn Ḥajar al-'Asqalānī also stated that *ribā* was clearly forbidden in the 2nd year after *hijra*, in light of this verse.

The reason this verse was revealed in the context of the battle was that the invaders from Makkah had financed their army and amassed their weapons by taking usurious loans. The Muslims might be tempted to finance their warfare in the future using similar methods, thus a clear prohibition of *ribā* was issued.

4- SURA AL-BAQARA

The following set of verses is found in the Surah Al-Baqarah in the following words:

"Those who take interest will not stand but as stands whom the demon has driven crazy by his touch. That is because they have said: 'Trading is but like ribā'. And Allah has permitted trading and prohibited ribā. So, whoever receives an advice from his Lord and stops, he

is allowed what has passed, and his matter is up to Allah. And the ones who revert back, those are the people of Fire. There they remain for ever. Allah destroys ribā and nourishes charities. And Allah does not like any sinful disbeliever. Surely those who believe and do good deeds, establish Salah and pay Zakah, have their reward with their Lord, and there is no fear for them, nor shall they grieve.

O those who believe, fear Allah and give up what still remains of the ribā if you are believers. But if you do not, then listen to the declaration of war from Allah and His Messenger. And if you repent, yours is your principal. Neither you wrong, nor be wronged. And if there be one in misery, then deferment till ease. And that you leave it as alms is far better for you, if you really know. And be fearful of a day when you shall be returned to Allah, then everybody shall be paid, in full, what he has earned. And they shall not be wronged." [Al-Baqarah 2:275-281]

In these verses, the severity of the prohibition of *ribā* has been elaborated in detail. The background of the revelation of these verses is that after the conquest of Makkah, the Prophet (*ṣallaLlāhu ‘alayhi wasallam*) voided all sums of *ribā* that were due at that time. This meant that no one could claim interest on any loan they had had issued.

Then he (*ṣallaLlāhu ‘alayhi wasallam*) proceeded to Ṭā’if, which had not yet been conquered. Later, the people of Ṭā’if (mainly from the Thaḳīf tribe) embraced Islam and proposed a treaty to the Prophet (*ṣallaLlāhu ‘alayhi wasallam*). One of the proposed clauses of this treaty was that Thaḳīf will not forego the interest that their debtors owe them, but their creditors will forego the amount of interest that Thaḳīf owes them. The Prophet (*ṣallaLlāhu ‘alayhi wasallam*), instead of signing that treaty simply wrote a sentence on the proposed draft that Thaḳīf will have the same rights as the Muslims have. They held the false impression that their proposal was accepted, and started claiming interest from Banū ‘Amr b. al-Mughīra while refusing to pay it their own creditors on the grounds that it was *ḥarām*. It was shortly after this that these verses were revealed:

"O those who believe, fear Allah and give up what still remains of the ribā if you are believers. But if you do not, then listen to the declaration of war from Allah and His Messenger. And if you repent, yours is your principal. Neither you wrong, nor be wronged." (Q 2:278-279)

The Thaḳīf tribe surrendered to these verses, saying, "We have no power to wage war against Allah and His Messenger."

SUMMARY

This discussion establishes that *ribā* was most certainly prohibited by the year 2 AH. Some scholars hold that it was prohibited even earlier –at Makkah– because the verse of surat al-Rūm. Others hold that it was prohibited from the very beginning, but the severity of prohibition was not emphasized during that period because Muslims were under persecution. They were occupied with upholding and defending their basic beliefs and no real occasion to indulge in the practice of *ribā*.

WARNINGS IN HADITHS

From Jābir (*raḍiyāLlāhū ‘anhu*): The Prophet (*ṣallaLlāhu ‘alayhi wasallam*) cursed the receiver and the payer of interest, the one who records it and the two witnesses to the transaction and said: "They are all alike [in sin]." (*Muslim 1598*)

From ‘Abdullah b. Ḥanzala (*raḍiyāLlāhū ‘anhu*): The Prophet (*ṣallaLlāhu ‘alayhi wasallam*) said: "A dirham of *riba* which a man receives knowingly is worse than committing adultery thirty-six times" (*Aḥmad, 22007*)

From Abu Hurayrah (*raḍiyāLlāhū ‘anhu*): The Prophet (*ṣallaLlāhu ‘alayhi wasallam*) said: "On the night of Ascension I came upon people whose stomachs were like houses with snakes visible from the outside. I asked Gabriel who they were. He replied that they were people who had received interest." (*Ibn Mājah 2359*)

From Abu Hurayrah (*raḍiyāLlāhū ‘anhu*): The Prophet (*ṣallaLlāhu ‘alayhi wasallam*) said: "Ribā has seventy sins, the least serious being equivalent to a man committing adultery with his own mother." (*Ibn Mājah 2360*)

RIBĀ'L-NASĪ'A:

HOW INTEREST IS CHARGED

MEANING

Interest paid on a loan or debt. The excess money paid over and above the principal amount (original amount of money loaned) is *ribā*. It is forbidden to give or receive this interest.

'A' loaned \$100 to 'B' for 2 months on 10% interest (\$10). The extra \$10 is *ribā al-nasī'a*. \$100 is the principal (original amount) and must be repaid. If, at the time of lending, it was decided that 'B' must pay extra on top of the principal, the transaction is *ḥarām*.

From Faḍāla b. 'Ubayd (*raḍiyaLlahū 'anhu*) "Every loan that draws benefit is one of the forms of *ribā*" (*Bayhaqī, Sunan*)

The benefit derived from giving a loan does not have to be cash. It can be in the form of other goods, or even services or favours.

From Anas b. Mālik (*raḍiyaLlahū 'anhu*): The Prophet (*ṣallaLlāhu 'alayhi wasallam*) said: "When one of you grants a loan and the borrower offers him a dish, he should not accept it; and if the borrower offers a ride on an animal, he should not ride, unless the two of them have been previously accustomed to exchanging such favors mutually."
(*Sunan al-Bayhaqī, Kitāb al-Buyu', Bab kulli qardin jarra manfa'atan fa huwa riban*)

From Anas b. Mālik (*raḍiyaLlahū 'anhu*): The Prophet (*ṣallaLlāhu 'alayhi wasallam*) said: "If a man extends a loan to someone he should not accept a gift." (*Mishkat, on the authority of Bukhari's Tarikh and Ibn Taymiyyah's al-Muntaqa*)

From Abu Burdah b. Abī Mūsā : I came to Madina and met 'Abdullah b. Salām (*raḍiyaLlahū 'anhu*) who said, "You live in a country where *ribā* is rampant; hence if anyone owes you something and presents you with a load of hay, or a load of barley, or a rope of straw, do not accept it; for it is *ribā*." (*Bukhārī*)

Interest on loans is charged in two ways:

SIMPLE INTEREST- (AL-RIBĀ AL-MUFRAD)

Interest is charged only on principal (capital)

Loan of \$100, payable in 1 year with 10% interest= \$110

COMPOUND INTEREST

Interest is calculated on: a) principal and b) interest owing

A loan of \$100, payable in 10 months with 10% interest looks like this: ten instalments of \$10 + 10% + 10% of remaining interest

HOW COMPOUND INTEREST ACCUMULATES

Here are the calculations for a 5 Year Loan at 10%:

Year	Loan at Start	Interest	Loan at End
0 (Now)	\$1,000.00	(\$1,000.00 × 10% =) \$100.00	\$1,100.00
1	\$1,100.00	(\$1,100.00 × 10% =) \$110.00	\$1,210.00
2	\$1,210.00	(\$1,210.00 × 10% =) \$121.00	\$1,331.00
3	\$1,331.00	(\$1,331.00 × 10% =) \$133.10	\$1,464.10
4	\$1,464.10	(\$1,464.10 × 10% =) \$146.41	\$1,610.51
5	\$1,610.51		

1. Calculate the Interest (= "Loan at Start" × Interest Rate)

2. Add the Interest to the "Loan at Start" to get the "Loan at End" of the year (The "Loan at End" of the year is the "Loan at Start" of the next year)

COMMERCIAL INTEREST:

Ribā'l nasī'a is frequently charged through financing of business activities. This takes the following forms:

- Consumer/Retail banks: personal banking
- Commercial/Industrial banks: financing business activities

- Personal interest-based loan

RIBĀ'L-FADL:

This type of *ribā* is also called *ribā'l sunna*, because it was forbidden in hadiths.

MEANING:

Ribā'l faḍl occurs when goods of the same kind are exchanged in different quantities. When the same commodity is being traded from both sides, the quantity must be the same. If one side is receiving more, it is *ribā'l faḍl*.

The Prophet (*ṣallaLlāhu 'alayhi wasallam*) said, "Sell gold in exchange of equivalent gold, sell silver in exchange of equivalent silver, sell dates in exchange of equivalent dates, sell wheat in exchange of equivalent wheat, sell salt in exchange of equivalent salt, sell barley in exchange of equivalent barley, but if a person transacts in excess, it will be usury (*riba*). However, sell gold for silver anyway you please on the condition it is hand-to-hand (spot) and sell barley for date anyway you please on the condition it is hand-to-hand (spot)." (*Bukhārī, Muslim*)

From Abu Sa'id (*raḍiyallaḥū 'anhu*): Bilal (*raḍiyallaḥū 'anhu*) brought to the Prophet, some barni [good quality] dates whereupon the Prophet asked him where these were from. Bilal replied, "I had some inferior dates which I exchanged for these - two sa's for a sa'." The Prophet said, "Oh no, this is exactly *riba*. Do not do so, but when you wish to buy, sell the inferior dates against something [cash] and then buy the better dates with the price you receive." (*Muslim, Kitab al-Musaqat, Bab al-ta'ami mithlan bi mithlin; also Musnad Ahmad*)

From Abu Sa'id (*raḍiyallaḥū 'anhu*) and Abū Hurayrah (*raḍiyallaḥū 'anhu*): A man employed by the Prophet (*ṣallaLlāhu 'alayhi wasallam*) in Khaybar brought for him *janīb* [dates of very fine quality]. Upon the Prophet's asking him whether all the dates of Khaybar were such, the man replied that this was not the case and added that they exchanged a *ṣā'* [a measure] of this kind for two or three [of the other kind]. The Prophet (*ṣallaLlāhu 'alayhi wasallam*) replied, "Do not do so. Sell [the lower quality dates] for dirhams and then use the dirhams to buy *janīb*. [When dates are exchanged against dates] they should be equal in weight."

(*Bukhari, Kitab al-Buyu', Bab idha arada bay'a tamrin bi tamrin khayrun minhu; also Muslim and Nasa'i*)

EXPLANATION

The hadith mentions six commodities that cannot be exchanged with their like unless the quantities are the same, and it is a spot-transaction.

- 1) Gold
- 2) Silver
- 3) Dates
- 4) Wheat
- 5) Salt
- 6) Barley

The rules of *ribā* are not restricted to these six. Rather, the rule will apply whenever homogenous commodities having the following qualities are traded:

- 1) Traded by weight or volume (Imam Abū Ḥanīfa)
- 2) Are a currency or edible (Imam Shāfi'ī)
- 3) Edible or preservable (Imam Mālik)

Many contemporary scholars use the following criteria: If the commodity is traded by weight or volume, or may be used as a medium of exchange, then the following two kinds of transactions are not allowed when the same goods are being exchanged:

- 1- A deferred sale of this commodity in exchange for the same (such gold for gold, dates for dates). A deferred sale is when the goods are returned/or paid for after some undetermined period.
- 2- A sale of unequal quantities of the same goods

BASIC RULES

Rule 1

Whenever a commodity sold by weight or volume is traded with its like, the quantity on both sides must be the same. Any excess will be *ribā*.

'A' trades 10 kg of his high-quality dates for 20 kg of poor quality dates from 'B'. The 10 kg he receives in excess is *ribā*.

1 gm of gold for 1 ½ gm of gold. The ½ gm in excess is *ribā'l faḍl*.

Rule 2

Whenever a commodity sold by weight or volume is traded with its like, it must be sold as a spot sale in which both sides pay immediately. It is impermissible to make a deferred payment.

Coal in exchange for coal-must be equal and with a spot transaction.

Rule 3

If only one of the two characteristics (mentioned above) is present, then exchange of unequal goods are allowed but deferred sales are not allowed.

For example, selling 1 gm of gold for 10 gm of silver. This transaction is permitted, but it must be a spot sale.

1 kg of barley for 2 kg of wheat. This is permitted, provided it is a spot sale.

JEWELLERY AND CURRENCY

These rules also apply to trade of gold and silver jewellery, as well as modern currencies. When trading gold or silver jewellery, ornaments or utensils for the same precious metal, the weight of gold or silver must be equal on both sides.

One may be traded with the other (gold for silver) unequally provided that it is a spot transaction.

It is not lawful to trade the same currency (AUD for AUD) unequally. Two different currencies may be traded unequally (AUD for USD) provided it is a spot transaction.

EXEMPTIONS

The rules of *ribā'l faḍl* do not apply to items such as cars, houses and animals because these are sold as units and not by weight or volume.

RATIONALE

Why is it impermissible to exchange the same commodity in unequal amounts, even when we know that a difference in quality always results in a difference in price?

The market price of a commodity is calculated in its money value. When bartering (trading goods for goods), a seller or buyer can easily be deceived into thinking that their commodity is worth less than it actually is, or the commodity they are getting in return is worth much more than it actually is. The market value of commodities in various parts of the world fluctuates, sometimes rapidly, and such unequal bartering of the same good could result in losses for one party and open doors of exploitation for the other. When a commodity is sold for cash, the seller knows exactly what they are getting in return, and easily decide if the price is suitable or not.

This is why Islam has set aside the variation in value/quality and stipulated that the commodities should be exchanged in equal amounts (weight and volume). If they feel that it is not worthwhile to trade in this manner, they should sell their commodity for money, then use that money to buy the other commodity.

Why must these transactions be spot sales? Why are deferred and credit sales unlawful for these goods?

The answer, in short, is that market value of goods and currencies fluctuates. If these goods are not traded on the spot, each party will hope to win an advantage by the dropping of value of their goods, or increase in the value of the other's goods. Let us look at the example of gold:

'A' sells 30 g of silver to 'B' for 1 g of gold, to be paid in a month. 'A' has no knowledge of what the price of gold will be after one month, but hopes that it increases, so that he gets more than today's market rate. If the rate of gold to silver increases from 1:30 to 1:35, the excess (which is above the value agreed to at the time of the sale) is *ribā*. Furthermore, it brings the element of risk (of loss to either party) and a type of gambling, all of which have been shunned in Islamic teachings.

BANK ACCOUNTS

Depositing money in an interest-bearing (savings) account is *ḥarām*, and so is the interest it accumulates.

If someone has accumulated any amount of interest, they must dispose of it by giving it away to the poor; they may not use it for themselves.

HOW BANKS USE MONEY

Conventional banks take the funds deposited by clients into their accounts and loan them out, earning large amounts of interest on that money.

TYPES OF ACCOUNTS

Retail banks (those dealing with consumers) generally offer two types of accounts to consumers:

INTEREST-BEARING

Example: savings account. These accounts generate a percentage of interest upon the funds deposited. The interest given to the customer is a small percentage of the interest the bank earns on its loans.

NON-INTEREST BEARING

Example: checking account. These accounts do not generate interest for the account holder, even though the bank is using their funds to earn interest.

MUSLIMS AND BANKING

In principle, then, opening either type of account with a conventional bank is unlawful. A Muslim should only deposit their money in institutions that do not invest their money in interest-based activities. There are now Islamic banks around the world, which do not engage in interest-based transactions. Some conventional banks have also opened up departments that invest the funds in a sharia-compliant manner. These should be the first recourse for the Muslim consumer.

If someone is not able to access such banking facility, but needs to safeguard their money, they may open a non-interest bearing account in a conventional bank, and move the funds to a better institution whenever that option becomes available.

CREDIT CARDS

HOW THEY WORK

A common credit card works like this: When you pay for something with a credit card, the card issuer (bank who has issued the card) pays the merchant on your behalf, and the funds are quickly transferred to their account. You, however, have some time (your payment cycle) to make the payment to the credit card company. If you pay within the time limit (a payment cycle is usually 30 days), there is no extra charge to you. If you do not pay on time, however, you are charged interest.

UNLAWFUL ASPECT

The trouble with credit cards is that when you apply, you sign an agreement to pay interest for any overdue amount. That makes this an unlawful transaction. The second aspect is the high likelihood of not being able to pay the entire amount before the due date. This is why credit cards are unlawful by nature, and should be avoided by anyone who does not absolutely require one. Credit card companies rely on our inability to pay on time, along with our tendency to spend more than we can actually pay for, and make enormous amounts of money in interest.

ELEMENTS TO CONSIDER

Credit cards involve the following:

- An agreement to take an interest-based loan
- Paying the loan (credit card bill) on time to avoid interest.
- Fees for the credit card, charged by the credit card company or the vendor.

RULING

In theory, conventional credit cards should be unlawful because:

- the contract with conventional credit card companies involve a pledge to pay interest on

any delayed payment, and such contracts are unlawful.

- the chances of delayed payments for most people are moderate to high (credit card companies operate on the *expectation* that people will delay payments, and the institution will earn interest).

SITUATIONS OF NECESSITY

Yet we find that credit cards have also become a need for many people. It is not possible to shop online, book air travel, rent a car or book a hotel without a credit card. These and other purchasing activities are an important part of many people's lives and business. It is due to this that scholars have allowed the usage of credit cards, with the condition that the cardholder avoids any interest payments.

CORRECT USAGE

The following guidelines will enable one to use a credit card within limits of Islam.

Use it within your budget/spending capacity.

One should not spend more than the cash one has in their account, or is certain to have before the payment date. It also helps to keep a lower limit on the card; this is a deterrent from overspending.

Pay up front, simultaneously

If the above guideline is followed, it is easy to keep making payments as one uses the card. There are a few ways to do this.

One method is to set a pre-authorized payment to the card, by which the company can take the payment directly from the cardholder's bank account every month.

Another method is to advance a payment to the credit card company, before making purchases. For example, a person knows that they will make purchases totaling \$500. They pay this money to the credit card company up front, then make the purchases, almost like how one would use a debit card.

If neither of these methods are used, there is a risk of forgetting to pay on time, or spending beyond one's means, thus falling into the interest trap.

the customers do not have to gamble or engage in some other impermissible activity to use them.

BETTER ALTERNATIVES TO REGULAR CREDIT CARDS

DEBIT CREDIT CARDS

Many new debit cards are partnered with a credit card and can be used interchangeably as a credit card. The funds are deducted directly from the bank account, and there is no possibility of accruing interest with these cards.

PRE-PAID CARDS

These cards require the client to deposit money into the card account prior to using it. One may only use it to the extent of the funds one prepays. Here, also, there is no possibility of interest.

ANNUAL FEES

Many card companies charge an annual fee to the card holder. These fees will not be considered interest, as they are charged to cover the costs associated with providing the credit card service, and unrelated to the amount of purchases made by the client.

RECEIVING PAYMENTS THROUGH CREDIT CARDS

Many merchants take payments from customers through credit cards. They have a contract with a company that provides the facility of taking such payments. The service provider may charge a fixed fee from the vendor, or a percentage of the transaction amount. A Muslim merchant may use these services. If the provider charges a percentage, it will be considered a commission.

CASH BACK/ REWARDS

Credit card providers often give incentives to customers for signing up, such as cash back, travel miles, or points. For example, a company may offer x% cashback on purchases once they reach a certain amount (sometimes, within a certain time frame).

Such cashback, miles and points will be considered a gift from the companies and may be used, provided

